

ENTREPRENEURSHIP & BUSINESS DESIGN

B.Tech. CSE. III Year. I Semester D - section (9ZC10) Unit – V

Dr. G. S. Reddy
Sreenidhi Institute of Science and Technology
Hyderabad, 501301, India
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Syllabus (Unit -5)

UNIT-V: Business Model: Meaning of business model, Difference between business model and business planning, the business model canvas, Risks and Assumptions, Validation of business models, building solution demo and MVP, revenue streams and pricing strategies.

Essential Readings:

- (1). **Adrian McEwen, Hakim Cassimally — “Designing the Internet of Things”, Wiley Publications, 2012.**
- (2). **Hedniaii, J., & Kalling, T. (2003). The business model concept: theoretical underpinnings and empirical illustrations. *European journal of information systems*, 12(1), 49-59.**
- (3). **Cabrera, j. (2017). *Modular Design Frameworks: A Projects-based Guide for UI/UX Designers*. A press.**

Reference Books:

1. J. Chris Leach & Ronald W. Melicher “Entrepreneurial Finance, Fourth Edition”, South Western, Cengage Learning, 2012.
2. Robert D. Hisrich & Veland Ramadani — “Effective Entrepreneurial Management, Strategy, Planning, Risk Management, and Organization”, Springer, 2017.
- 3, Mmhluni, A. R. (2017). *Extruding the TILES Toolkit- from fication to Pi'ololying* (Master's thesis, NTNU).
4. Norman. D. (2013). *They design obeye yJnJ' things. Rrvised mJ expanded edition.*

Unit – V: BUSINESS MODEL

Contents:

1. Meaning of Business Model
2. Difference between Business Model and Business planning
3. The Business Model Canvas
4. Risks and Assumptions
5. Validation of Business Models
6. Building Solution demo and MVP
7. Revenue streams and Pricing strategies.

1. Meaning of Business Model

BUSINESS MODEL

A business model is an outline of how a company plans to make money with its product and customer base in a specific market.

At its core, a business model explains four things:

- **What product or service a company will sell**
- **How it intends to market that product or service**
- **What kind of expenses it will face**
- **Does Trump's tariffs apply?**
- **How it expects to turn a profit**

According to management guru Peter Drucker: “A business model is supposed to answer who your customer is, what value you can create / add for the customer and how you can do that at reasonable costs”.

Examples of Few Known Business Models

- **Retailer:** (Trading: Buying from whole-seller at cheaper price & selling at higher retail price).
- **Manufacture:** (School bag, Bike, Train, Drone, Match-box)
- **Fee for service:** (Repair, transportation, Doctor fee, ..)
- **Subscription:** (To download information. Valid for fixed period)
- **Franchise:** (Dominico Pizza,...), (St' Grammar School),
- **Pay-as-You-Go** (Credit card,)
- **Brokerage:** Buyer and Seller will not directly in contact..
- **Razor-blade:** (Main part will be free. But consumables cost).
- ----- (.....).

Razor and Blade business model

Aptly named after the product that invented the model, this business model aims to sell a durable product below cost to then generate high-margin sales of a disposable component needed to use that product. Razor blade companies give away expensive blade handles with the assumption that consumers need to continually buy razor blades in the long run.

Example: HP (printer free, & but ink to be purchased always)

Example: Glucose monitor (Monitor free, but test strips must be purchased always).



Razor



Blade

Razor blade business model - Example



Printer is free

Ink must be bought
always.



**Test Strip are
one-time use.
Must purchase
always**

**Glucose meter
free**

**NOTE:
THIS STRIPS WORKS ONLY
FOR THIS GLUCOSE METER.**

2. Difference between Business Model & Business Planning

DIFFERENCE BETWEEN BUSINESS MODEL AND BUSINESS PLANNING

Business Plan: A business plan is a formal written document containing the goals of a business, the methods for attaining those goals, and the time-frame for the achievement of the goals

The most important purposes of a business plan are:

- 1) to create an effective strategy for growth**
- 2) to determine your future financial needs and**
- 3) to attract investors (including angel investors and VC funding) and lenders.**

Business Model Vs Business Plan

Business Model	Business Plan
Get outside and talk to customers.	Stay inside and do library research
Focus on input received in validation.	Focus on output to create presentation
Start lean and build a prototype	Spend big to optimize the product
Change your initial assumptions to fulfil customer's needs	Fortify your initial assumptions.
Chase customers to get needed validation.	Chase funding to get needed money.
Launch by applying customer proven process.	Talk about what might happen in the future.

At its simplest, a BUSINESS PLAN is a written description of the future of a business. It's a document that not only gets a business concept on paper but also outlines the people and steps that will be involved to lead the business to success.

If the business plan is a road map that describes how much profit the business intends to make in a given period of time, THE BUSINESS MODEL is the skeleton that explains how that money will be made.

A model covers everything from how a company is valued within an industry to how it will interact with suppliers, clients and partners to generate profits.

3. The Business Model Canvas

THE BUSINESS MODEL CANVAS

The Business Model Canvas (BMC) is a strategic management tool to quickly and easily define and communicate a business idea or concept. It is a one-page document which works through the fundamental elements of a Business or product.

Elements of BMC:

- 1. Key activities.**
- 2. Key resources.**
- 3. Key partners.**
- 4. Value proposition.**

THE BUSINESS MODEL CANVAS

Elements of BMC (Cont.,):

- 5. Customer segments.**
- 6. Channels.**
- 7. Customer relationships.**
- 8. Cost structure.**
- 9. Revenue streams.**

Business Model Canvas Template

KEY INITIATIVES



KEY ACTIVITIES



VALUE PROPOSITION



CUSTOMER RELATIONSHIPS



CUSTOMER SEGMENTS



KEY RESOURCES



CHANNELS



COST STRUCTURE



REVENUE STREAMS



Business model canvas.

KEY PARTNERS	KEY ACTIVITIES	VALUE PROPOSITIONS	CUSTOMER RELATIONSHIPS	CUSTOMER SEGMENTS
	KEY RESOURCES		CHANNELS	
COST STRUCTURE			REVENUE STREAMS	
ENVIROMENTAL COSTS	SOCIETAL COSTS		SOCIETAL BENEFITS	ENVIRONMENTAL BENEFITS

Adapted from businessmodelgeneration.com by Business Models Inc.

THE BUSINESS MODEL CANVAS (BMC)

- The **right side** of the BMC focuses on the **customer** (external), while, the **left side** of the canvas focuses on the business (internal).
- Both external and internal factors meet around the **value proposition**, which is the exchange of value between your business and your customer/clients.

BUSINESS MODEL CANVAS



Key Partners



- Restaurants and shops
- Groceries
- Delivery providers

Key Activities



- Partnerships with eateries and retail shops
- Hiring delivery providers and suppliers
- Managing delivery and payment process

Key Resources



- local restaurant and shops
- delivery providers
- Technology

Value Propositions



- Food delivery with no-restriction order policy
- efficient online payment system
- no minimum order requirement
- different payment methods

Customer Relationships



- 24/7 active customer support
- Customer Support Chat
- social media pages

Channels



- mobile app
- websites
- digital marketing

Customer Segments



- People who do not wish to go out to restaurants
- People who want to order food online and want to get it delivered
- people who want to buy and get other products delivered from nearby shops and stores

Cost Structure



- Payroll expenses for its employees and delivery partners.
- Costs of application and website development
- Running costs and maintenance charges
- Administrative, advertising, and marketing costs

Revenue Streams



- Delivery charges
- Commissions
- Advertising
- Affiliate Income, Swiggy Access/Super



4. Risks and Assumptions

Risks and Assumptions of Business Model

Business Model risk defined as “all risks within the business model can endanger the profitability and sustainability of the business model or even company goals and value”.

Key factors of business model risk

- Scale needed for profitability
- Current number of customers
- Month-on-month customer growth rate
- Churn rate
- Retention rate
- Months in operation
- Months of runway - cash on hand
- Monthly revenue
- Month-on-month revenue growth
- Recurring costs
- Fixed costs
- Variability of input costs
- Unit economics: CAC, LTV

Risks and Assumptions of Business Model

If your company is facing business model risks, a good financial model will also allow you to generate and test assumptions regarding the levers that may be impacting your growth and success.

If you're like 90% of the entrepreneurs I talk to, your first question when you start building your financial model is "what do I input as my assumptions?" Building forward-looking projections for uncertain businesses is by nature difficult: how do we predict how people will adopt or use something that doesn't exist? And without good assumptions, isn't my model useless?

There's a couple ways to address this:

Risks and Assumptions of Business Model

Research: Use the past performance of other companies as data points for your assumptions.

Historical metrics: If you have past performance data, that adds potential data points to your forward-looking assumptions. And it helps you understand what metrics in your business you'd need to change to make a big breakthrough in performance.

Make range estimates, not point estimates: Creating a range helps you focus your thinking how the inputs influence the outputs, rather than focusing narrowly on justifying the inputs.

5. Validation of Business Models

VALIDATION OF BUSINESS MODELS

Model validation is the process by which model outputs are (systematically) compared to independent real-world observations to judge the quantitative and qualitative correspondence with reality.

3 Key Steps of Successful Business Model Validation:

- 1. Identify and track your assumptions with the business model canvas**
- 2. Test your assumptions in the field with customers and pivot if your model is wrong**
- 3. Demonstrate that you have gained market traction using feedback from actual customers**

6. Building Solution Demo and MVP

A ***MINIMUM VIABLE PRODUCT*** is a version of a product with **JUST ENOUGH FEATURES** to be usable by early customers who can then provide feedback for future product development. A focus on releasing an MVP means that developers potentially avoid lengthy and unnecessary work

A ***SOLUTION DEMO*** pulls together various aspects of the solution and helps ensure that the ARTs and suppliers are creating an integrated and tested solution

SOLUTION DEMO Vs MVP

	Demo	MVP (Minimum Viable Product)
Focus is	Presentation to stake holders	Deployment into production
Features include	Some that may be discarded in the MVP	Basic and functional
Designed for	Small audiences, such as Stake holders	Sizable customer groups
Legacy	Discarded after testing	1 st version of a complete solution
Feedback sought on	Product concept and ideas	Product features and functionality

SOLUTION DEMO Vs MVP (..Cont..)

	Demo	MVP
Composition may include	Mock-up, video presentation	A functional basic product
Customer value	Demonstrates promised value	Delivers tangible initial value
Timing built-when	Business case and product unproven. Insufficient funds, risks unknown.	Business case and product sound, sufficient funding, minimal risks.
Testing	Market need	Product solution
Revenue	Not for sale	Sold to early adopters

7. Revenue Streams and Pricing Strategies

REVENUE STREAMS AND PRICING STRATEGIES

- **REVENUE** meaning is the total amount of money that is produced by selling the goods or services to the customers.
- **Revenue streams are the various sources from which a business earns money from the sale of goods or the provision of services (Servicing cars during warranty 10 years).**
- The **types of revenue** that a business records on its accounts depend on the **types of activities** carried out by the business. **(Ex. Car with moon roof, alloy wheels, hybrid: electric & petrol).**

Types of Revenue Streams

- ❖ Asset sale. The most widely understood Revenue Stream derives from selling ownership rights to a physical product.
- ❖ Usage fee. This Revenue Stream is generated by the use of a particular service. Ex: Room Rental
- ❖ Subscription fees. Ex: Discovery health
- ❖ Lending/Renting/Leasing. Ex: Car rental
- ❖ Licensing. Ex: Cartoon, brand and process licensing
- ❖ Brokerage fees: Ex: Real estate
- ❖ Advertising. Ex: www.gumtre.com
- ❖ Services Fees: Ex: Coaches
- ❖ Interest and Investment: Ex: **Pick n Pay.**



DIFFERENT PRICING STRATEGIES

**Pricing is a market consideration, not a cost consideration.
Understand your customers' primary goals. Be clear on what the customer wants first, then set pricing.**

Pricing Strategy	Meaning	Examples
Skimming Pricing	High Price low volume	Play Station, Digital Technology & DVD
Penetration Pricing	Low' price to secure high volumes	chocolate bars, food stuffs, household goods

Pricing Strategy	Meaning	Examples
Loss Leader Pricing	Goods/services deliberately sold below cost to encourage sales elsewhere	‘Free’ mobile phone when taking on contract package
Value Pricing	Price set by the company as per the perceived value of the customers	Status Products/ Exclusive Products.
Psychological Pricing	High value goods priced according to what consumers think should be the price	Rs .9.99 instead of Rs.10.99

Pricing Strategy	Meaning	Examples
Going Rate Pricing	May follow pricing leads of rivals especially where those rivals have a clear dominance of market share	Banks, petrol, supermarkets, electrical goods
Tender Pricing	Many contracts awarded on a tender basis. Mostly done in secret	Bulk orders of materials / Products.
Price Discrimination Pricing	Charging a different price for the same good/service in different markets	Prices for rail travel differ for the same journey at different times of the day .

Pricing Strategy	Meaning	Examples
Cost Plus Pricing / Mark-up pricing	Is used to maximize the rates of return of companies	X company has designed a product that contains : Direct material costs = 40.00, Direct labor costs = 5.50 overhead = 8.25 The company applies a standard 30% markup to all of its products, X adds together the stated costs to arrive at a total cost of 53.75, and multiplies this amount by $(1 + 0.30)$ to arrive at the product price of 69.87 rs.

Pricing Strategy	Meaning	Examples
Price Inelastic	% change in Q < % change in P	a 5% increase in price would be met by a fall in sales of something less than 5%
Price Elastic	% change in quantity demanded > % change in price	A 4% rise in price would lead to sales falling by more than 4%
Destroyer Pricing or Predatory Pricing	Deliberate price cutting to force rivals (normally smaller and weaker) out of business or prevent new entrants	‘free gifts/products’ , Reliance JIO
Target Pricing	identifying the price at which a product will be competitive in the marketplace,	A marketing manager sets a target price based on competitor product pricing. The R&D group then design to that price constraint

The End of Unit - 5